

Finance English

Participant workbook: financial statements, FP&A, treasury, markets, banking, valuation, controls, and finance dialogue practice

Audience: advanced ESL learners working in accounting, FP&A, treasury, banking, investments, audit, risk, corporate finance, and related roles

Focus: high-level professional English for finance workplaces, including financial statements, FP&A, treasury, banking, investment analysis, valuation, risk, audit, controls, compliance, and realistic finance dialogue.

Designed for advanced ESL learners who already work in accounting, FP&A, treasury, banking, investment management, corporate finance, audit, risk, investor relations, or finance-adjacent roles.

Teaching stance: this is finance English training, not investment, tax, accounting, banking, or legal advice. Standards, regulations, products, and disclosure requirements vary by jurisdiction and role. Learners should practice precise language and professional judgment while relying on qualified finance, accounting, legal, tax, and compliance guidance for actual decisions.

How to Use This Workbook

This workbook helps you speak and write more precisely in finance workplaces. The goal is not to sound complicated. The goal is to make numbers useful: what changed, why it changed, whether it matters, what risk remains, and what decision follows.

Your starting point

- Which finance conversations are hardest for you: close, forecast review, treasury, banking, audit, investment performance, credit, valuation, or board updates?
- Which finance terms do you understand when reading but avoid when speaking?
- When someone challenges your numbers, do you become too vague, too defensive, too detailed, or too indirect?
- What is one recent finance update you wish you had explained more clearly?

Use the guided dialogue activities below. Every item has four choices and a rationale in the answer key; no open-ended writing is required.

Finance Driver Language

Area	Useful verbs	Example sentence
Accounting	recognize, accrue, defer, reserve, reconcile	We accrued the expense because the service was received before month-end.
FP&A	bridge, forecast, sensitize, normalize, explain	The bridge shows margin pressure from mix and discounting.
Treasury	fund, hedge, draw, repay, monitor	The downside case reduces covenant headroom by the fourth quarter.
Markets	attribute, rebalance, underperform, widen, tighten	Spread widening explains most of the relative underperformance.
Credit	underwrite, stress-test, mitigate, collateralize	Growth is strong, but DSCR falls below target in the downside case.
Corporate finance	value, discount, allocate, acquire, divest	The acquisition is attractive only if the synergy assumptions are achievable.

Practice Pages

Module 1. Finance Communication: Drivers, Assumptions, Materiality, Risk

Finance English is decision language. Strong learners do not only state numbers; they explain what changed, why it changed, whether it matters, what is recurring, and what decision follows.

What you should be able to do

- Separate result, driver, assumption, estimate, risk, and recommendation.
- Use materiality and confidence language without hiding uncertainty.
- Convert vague finance questions into answerable analysis tasks.

Guided dialogue completion

Situation

Finance reviews monthly results before sending the executive package.

Speaker	Line
Controller	Revenue is 4 percent below forecast. Is this a real miss or timing?
FP&A lead	Part of it is timing. Two enterprise renewals slipped into next month.
ESL learner	Can we separate timing from underlying demand? If the renewals are signed after month-end, revenue recognition may still be next period, but the sales risk is lower than the P&L variance suggests.
Controller	What should the commentary say?
ESL learner	Revenue was below forecast primarily due to renewal timing, with no _____ yet of broad demand weakness. We should still flag churn in the SMB segment as a recurring risk.

Choose the missing language

Option	Phrase
A	evidence
B	scope
C	timeline
D	assumption

Module 2. Financial Statements, Close, and Accounting Judgments

Financial statement conversations require precise links among income statement, balance sheet, cash flow, notes, accruals, revenue recognition, reserves, and internal controls.

What you should be able to do

- Explain the three main financial statements and how they connect.
- Use accounting-close terms such as accrual, deferral, reserve, reconciliation, adjusting entry, and cut-off.
- Discuss accounting judgment without sounding either casual or alarmist.

Guided dialogue completion

Situation

A business unit submits a forecast that assumes a sharp Q4 recovery.

Speaker	Line
Business owner	The pipeline supports the forecast. We just need the team to execute.
CFO	Pipeline is not the same as committed revenue.
ESL learner	The upside case is possible, but the base case should reflect conversion rate, sales-cycle length, and historical slippage. What evidence supports a conversion rate above the trailing average?
Business owner	We have a new campaign.
ESL learner	Then I would model the campaign as a sensitivity, not the base case, until we see qualified leads _____.

Choose the missing language

Option	Phrase
A	converting
B	control
C	disclosure
D	evidence

Module 3. FP&A, Budgeting, Forecasting, and Variance Analysis

FP&A conversations live between accounting truth and business uncertainty. Learners need language for budget vs actuals, forecast risk, bridge analysis, sensitivity, scenarios, guidance, and management action.

What you should be able to do

- Explain budget, forecast, outlook, guidance, run rate, bridge, and variance.
- Challenge business-owner assumptions respectfully and specifically.
- Write variance commentary that identifies driver, magnitude, timing, recurrence, and mitigation.

Guided dialogue completion

Situation

A startup leadership team reviews runway after slower collections.

Speaker	Line
CEO	We are close to breakeven, so why is cash still tight?
Treasury	Collections slowed, and prepaid annual contracts are lower than planned.
ESL learner	The income statement improved, but working capital moved against us. DSO increased, and deferred revenue growth slowed, so cash came in later than revenue recognition suggests.
CEO	What levers do we have?
ESL learner	Accelerate collections, pause noncritical hiring, renegotiate payment timing, and prepare a downside cash forecast. I would avoid assuming fundraising closes until terms are _____.

Choose the missing language

Option	Phrase
A	disclosure
B	evidence
C	signed
D	control

Module 4. Treasury, Cash, Liquidity, Working Capital, and FX

Treasury language connects operations, banking relationships, liquidity risk, funding strategy, covenant compliance, and market exposure. Cash is not the same as profit.

What you should be able to do

- Discuss cash runway, liquidity, revolver availability, covenants, DSO, DPO, inventory, and free cash flow.
- Explain why EBITDA, net income, and cash flow can move differently.
- Use FX, interest-rate, and hedging language in business-facing conversations.

Guided dialogue completion

Situation

Treasury sees leverage approaching a covenant threshold.

Speaker	Line
Treasurer	If Q3 EBITDA lands at the downside case, leverage gets close to the covenant.
Business unit CFO	But we will not breach unless Q4 is also weak.
ESL learner	True, but we should treat this as an early warning. The lender conversation is easier before a breach than after one.
Treasurer	What do we need?
ESL learner	A rolling covenant forecast, downside _____ plan, and a decision on whether to seek an amendment, add equity cushion, or reduce discretionary spend.

Choose the missing language

Option	Phrase
A	mitigation
B	evidence
C	risk
D	owner

Module 5. Markets, Investments, Performance, and Client Communication

Investment conversations require language for return, risk, benchmark, attribution, volatility, liquidity, duration, yield, spread, allocation, fees, and fair performance presentation.

What you should be able to do

- Explain market and portfolio performance without overstating causation.
- Use fixed income and equity vocabulary in client-safe language.
- Discuss underperformance, benchmark deviation, and risk exposure with credibility.

Guided dialogue completion

Situation

A portfolio manager explains fixed-income underperformance.

Speaker	Line
Client	Why did we underperform if the bond portfolio is conservative?
Portfolio manager	Rates moved higher, and credit spreads widened at the same time.
ESL learner	The portfolio stayed within mandate, but duration exposure hurt absolute returns, and spread widening hurt relative performance versus short-duration peers.
Client	Should we reduce risk now?
ESL learner	We can shorten duration, improve credit quality, or hold the allocation if your horizon supports it. The tradeoff is lower rate sensitivity versus potential income and reinvestment _____.

Choose the missing language

Option	Phrase
A	assumption
B	opportunity
C	scope
D	timeline

Module 6. Banking, Credit, Lending, and Counterparty Risk

Credit conversations are evidence-driven. Learners need language for borrower capacity, leverage, collateral, covenant package, probability of default, loss given default, concentration, and stress case.

What you should be able to do

- Use credit terms accurately in underwriting, portfolio review, and borrower conversations.
- Explain why a profitable borrower can still be a weak credit.
- Discuss downside cases, collateral gaps, and covenant protections without sounding accusatory.

Guided dialogue completion

Situation

A bank credit committee reviews a borrower seeking a larger facility.

Speaker	Line
Relationship manager	The borrower is growing fast and wants more capacity.
Credit officer	Growth is good, but cash conversion is weak.
ESL learner	Revenue growth does not automatically support more debt. DSCR is below our target in the downside case, and customer concentration increases repayment risk.
Relationship manager	What structure would make it approvable?
ESL learner	Lower advance rate, tighter reporting, a springing covenant, and a condition that concentration falls before the next _____.

Choose the missing language

Option	Phrase
A	owner
B	scope
C	timeline
D	increase

Module 7. Controls, Audit, Compliance, Fraud, and Ethics

Finance teams must be precise when discussing control failures, audit evidence, policy exceptions, conflicts of interest, suspicious activity, and performance claims.

What you should be able to do

- Differentiate control deficiency, significant deficiency, material weakness, error, fraud, and remediation.
- Discuss audit and compliance findings with evidence and professionalism.
- Recognize when finance communication must be escalated to legal, compliance, tax, audit, or senior management.

Guided dialogue completion

Situation

Corporate development reviews seller-adjusted EBITDA.

Speaker	Line
Seller advisor	The adjusted EBITDA add-backs are standard. These costs are non-recurring.
Buyer finance	Some of them appear to be ongoing operating costs.
ESL learner	We can accept one-time legal settlement costs if documented, but the customer support add-back looks recurring. Removing it lowers EBITDA and increases the purchase multiple.
Deal lead	How should we proceed?
ESL learner	Ask for support by add-back, update the valuation range, and consider a working capital adjustment or earnout if the seller's forecast depends on those _____.

Choose the missing language

Option	Phrase
A	owner
B	scope
C	timeline
D	savings

Module 8. Valuation, M&A, Capital Allocation, and Executive Finance

Senior finance discussions often combine valuation, strategy, risk, capital structure, and narrative. Learners need language for assumptions, valuation methods, diligence findings, synergies, add-backs, WACC, NPV, IRR, and board recommendations.

What you should be able to do

- Explain DCF, multiples, WACC, NPV, IRR, accretion/dilution, enterprise value, and equity value at a practical level.
- Challenge aggressive M&A assumptions, EBITDA add-backs, synergies, and integration costs.
- Present a recommendation that distinguishes financial return, strategic rationale, execution risk, and downside protection.

Guided dialogue completion

Situation

Sales wants approval for a large discount to close a strategic customer.

Speaker	Line
Sales	If we approve the discount, we close the logo this quarter.
Finance	The discount compresses gross margin and sets a pricing precedent.
ESL learner	Can we separate strategic value from unit economics? The deal may be worth doing, but the base price should not become the reference point for renewals or similar customers.
Sales	What is the finance recommendation?
ESL learner	Approve only if we include a ramp, minimum volume, limited term, and renewal pricing reset. Otherwise the short-term booking creates long-term margin _____.

Choose the missing language

Option	Phrase
A	mitigation
B	leakage
C	timeline
D	assumption

Phrase Bank

Performance and variance

- The variance is driven by volume, not price, and appears recurring.
- The result beat forecast, but the quality of the beat is mixed because working capital moved against us.
- This is a timing issue for P&L recognition, but it still affects cash this quarter.
- The bridge from budget to forecast has three drivers: mix, hiring delay, and FX.

Assumptions and forecasts

- What evidence supports this conversion rate relative to the trailing average?
- I would keep that in the upside case until we see qualified leads converting.
- The base case assumes current run rate; the downside case assumes slower collections and margin compression.
- The sensitivity shows that a one-point margin change has a larger impact than the volume change.

Treasury and liquidity

- Cash is tighter because receivables increased and deferred revenue growth slowed.
- We are not in breach, but the downside case creates covenant headroom risk.
- The revolver provides liquidity, but drawing it changes leverage and lender optics.
- A hedge reduces FX exposure, but it does not remove forecast risk.

Markets and investment communication

- Performance should be evaluated against the mandate, benchmark, time horizon, and risk taken.
- Duration exposure hurt returns when rates moved higher.
- Spread widening affected credit positions even though fundamentals have not deteriorated equally.
- The portfolio underperformed this month, but attribution shows the main drag was sector allocation, not security selection.

Credit and risk

- Revenue growth is positive, but repayment capacity depends on cash conversion and coverage.
- Collateral reduces loss severity; it does not guarantee repayment.
- The downside case binds on DSCR before it binds on leverage.
- We can recommend approval with structure: lower advance rate, tighter reporting, and a springing covenant.

Controls and compliance

- A correct entry can still reveal a control operating deficiency.
- We need to assess magnitude, frequency, compensating controls, and reasonable possibility of misstatement.
- The performance claim needs context, fees basis, benchmark, time period, and risk disclosure.
- This issue should be escalated to compliance before the deck is shared externally.

Valuation and executive recommendations

- Valuation is a range, not a point estimate, and the range is sensitive to margin and terminal-growth assumptions.
- The add-back is acceptable only if it is documented, non-recurring, and consistent with the definition in the agreement.
- The transaction is strategically attractive, but the integration risk reduces the financial margin of safety.
- My recommendation is to approve, defer, or reject based on return, downside protection, and execution risk.

Answer Key and Rationale

Check each answer after completing the dialogue. The rationale shows why the correct phrase is the strongest fit for the real workplace situation.

1. Monthly Close: Revenue Miss or Timing Issue?

Correct answer	Why it fits
A. evidence	'evidence' is the precise phrase used in this professional response. The other choices do not fit the dialogue's meaning or grammar.

2. Forecast Review: Aggressive Sales Assumptions

Correct answer	Why it fits
A. converting	'converting' is the precise phrase used in this professional response. The other choices do not fit the dialogue's meaning or grammar.

3. Cash Runway: Profit Is Not Cash

Correct answer	Why it fits
C. signed	'signed' is the precise phrase used in this professional response. The other choices do not fit the dialogue's meaning or grammar.

4. Covenant Monitoring: Early Warning

Correct answer	Why it fits
A. mitigation	'mitigation' is the precise phrase used in this professional response. The other choices do not fit the dialogue's meaning or grammar.

5. Investment Committee: Duration and Spread Risk

Correct answer	Why it fits
B. opportunity	'opportunity' is the precise phrase used in this professional response. The other choices do not fit the dialogue's meaning or grammar.

6. Credit Underwriting: Strong Growth, Weak Coverage

Correct answer	Why it fits
D. increase	'increase' is the precise phrase used in this professional response. The other choices do not fit the dialogue's meaning or grammar.

7. M&A Diligence: EBITDA Add-Back Challenge

Correct answer	Why it fits
D. savings	'savings' is the precise phrase used in this professional response. The other choices do not fit the dialogue's meaning or grammar.

8. Pricing and Margin: Discounting Pressure

Correct answer	Why it fits
B. leakage	'leakage' is the precise phrase used in this professional response. The other choices do not fit the dialogue's meaning or grammar.